to the great economic depression of the 1930s. The fundamental idea for setting up an international financial institution was to help avoid the 'beggar thy neighbour' policies that characterized that period.

It was established to provide short term and medium term finance to member countries facing balance of payments difficulties so that they could pursue policies of economic adjustment that did not rely on competitive devaluation and protectionist trade policies.

## The Mandate of the International Monetary Fund

The International Monetary Fund (IMF) is an independent international Organisation with 185 member countries with the objective to promote economic stability and growth. The member countries are the shareholders in the cooperative and provide capital for the International Monetary Fund through quota subscription. The IMF in return provides its members with macroeconomic policy advice, financial aid in times of balance payments need and technical assistance and training to improve national economic management. The IMF is one of the several autonomous Organisations of the UN with the designation of specialized agency and is also a permanent observer of the UN. Article 1 of the IMF mandate sets out the following objectives:

- To promote international monetary cooperation through a permanent institution which provides the machinery for consultation and collaboration on international monetary problems.
- To facilitate the expansion and balanced growth of international trade, and to contribute thereby to the promotion and maintenance of high levels of employment and real income and to the development of the productive resources of all members as primary objectives of economic policy.
- To promote exchange stability, to maintain orderly exchange arrangements among members, and to avoid competitive exchange depreciation.
- To assist in the establishment of a multilateral system of payments in respect of current transactions between members and in the elimination of foreign exchange restrictions which hamper the growth of world trade.
- To give confidence to members by making the general resources of the IMF temporarily available to them under adequate safeguards, thus providing them with opportunity to correct maladjustments in their balance of payments without resorting to measures destructive of national or international prosperity.
- To shorten the duration and lessen the degree of disequilibrium in the international balances of payments of members.
- The mandate of the IMF gives it a unique character as an international monetary institution having broad oversight responsibilities for the proper functioning and development of the international and monetary financial system.

## Functions of the International Monetary Fund:

The IMF pursues a wide range of functions in accordance with its mandate. It is as follows:



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